

Direct Tax Law Compliance

BASIC CONCEPTS OF INCOME TAX LAW AND TAX RATES

An Overview of The Income Tax Act, 1961

In 1860, income tax was introduced in India for the first time by Sir James Wilson, the pre-independence finance minister of India. He enforced the Income Tax Act, 1860 to cover up for the losses sustained by the government due to the military mutiny of 1857. From time to time, the Income Tax Act was replaced with different licence taxes. In 1886, a separate Income Tax Act was passed, which was further amended by the Income Tax Act of 1918 and 1922. The Income Tax Act, 1922, became highly complicated due to several changes. Hence, the Income Tax Act, 1961, was introduced on April 1, 1962.

Presently, the Income Tax Act, 1961 is applicable in India. Over the years, the Income Tax Act has undergone several changes, even those of far-reaching nature, as proposed by the Union Budget every year. Currently, the Income Tax Act levies income tax under the following five heads:

- Income from Salary
- Income from House Property
- Income from Profits and Gains of Profession
- Income from Capital Gains
- Income from Other Sources

The Income Tax Act, 1961 was introduced for the sole purpose of governing and administering income tax in the country. However, in 1962, specific Income Tax Rules were laid down to ensure proper enforcement and application of the Income Tax Act, 1961. The Income Tax Rules cannot overrule the provisions of the Income Tax Act and must be read in combination with the same.

What Are the Common Terms Related to Income Tax?

- **Previous Year (PY)** - The previous year, also known as PY, refers to the financial year immediately preceding the assessment year. In other words, the previous year is equivalent to the financial year.
- **Assessment Year (AY)** - The assessment year, or AY, is the period of 12 months starting on April 1st and ending on March 31st of the following year. It follows the financial year. For example, the assessment year for the financial year 2021-2022 would be 2022-2023. During the assessment year, individuals and businesses are required to file their income tax returns for the corresponding financial year.
- **Assessment** - Assessment is the process of reviewing and evaluating the returns filed by individuals or businesses with the Income Tax Department.
- **Assessee** - An assessee is a person or entity that is required to pay income tax, or any other sum of money as specified by the Income Tax Act. This includes individuals, Hindu Undivided Families (HUFs), Association of Persons (AOPs), Body of Individuals (BOIs), companies, firms, Limited Liability Partnerships (LLPs), local authorities, and any

artificial juridical persons (AJPs) that do not fit into any of the other aforementioned categories.

- **Self-Assessment Tax** - Self-assessment tax is the income tax paid by the assessee after accounting for advance tax and tax deduction at source. It is required to be paid during the assessment year before the individual or business files their income tax returns.
- **Income Tax Return** - An income tax return is a form that individuals and businesses use to report their income to the Income Tax Department for a specific financial year. There are several different forms that can be used, depending on the sources of income, the amount of income earned, and the type of assessee (such as an individual, HUFs, firm, or company). These forms include ITR 1, ITR 2, ITR 3, ITR 4, ITR 5, ITR 6, and ITR 7.
- **Tax Deduction at Source (TDS)** - It refers to the tax that is withheld before payment is made to the recipient (the deductee). Under the provisions of the Income Tax Act, TDS may be applied to salary, interest on bank deposits, commission, consulting fees, professional fees, and rent payments, among others. The deductors, or the party making the payment, is responsible for reporting this deduction in appropriate form which will reflect in Form 26AS, and TDS certificate shall also be available by deductors. The assessee, or the individual or business responsible for paying the tax, can use this certificate when filing their income tax return to claim credit for the tax paid.
- **Net Taxable Income** - Net taxable income is the income that is subject to income tax, calculated after considering deductions that are permitted under the Income Tax Act (such as those outlined in various Section 80s). Tax is paid on this amount.
- **Gross Total Income** - Gross Total Income (GTI) is the starting point for calculating and filing income tax returns. It includes all sources of income, such as salary, income from property, profits from a business or profession, capital gains, and income from other sources. These amounts are calculated after considering any exemptions or deductions that may be applicable, such as the exemption for Housing Rent Allowance (HRA) and eligible allowances.
- **Form 16** - Form 16 is a certificate issued by an employer that contains the information necessary to prepare and file an income tax return. Part A of the form includes the employer and employee's full address, their Permanent Account Number (PAN), the Tax Deduction Account Number (TAN) of the employer, the amount of tax deducted and deposited by the employer for the relevant assessment year, and the challan numbers. Part B provides details on salary paid, any other income, exemptions and deductions claimed, and tax deducted.

Who is Obligated to Pay Income Tax?

Income tax must be paid by citizens, companies, HUFs, and institutions that earn any form of income. When most people think of income, they immediately think of their regular salary. But that is not the only source of income that is taxable. Income from your investments, freelance work, and profits from a business are also taxed under the Income Tax Act, 1961. This means that you need to be aware of all your avenues of income and pay taxes wherever applicable.

Below is a list of all the 'types' of income that are taxable in India.

What Are the Different Types of Income?

The Income Tax Act, 1961 levies taxes on income from the following sources:

- **Income from salaries:** Income received by an employee from an employer is categorised in this head. If the employee is above the taxable income limit, the employer will withhold taxes. All deductions made from the salary, all exemptions granted, and the net income paid are mentioned in Form 16 generated by the employer.
- **Income from capital gains:** All income earned from the sale of capital assets owned by the taxpayer are categorised in this head. Capital assets include land, building, bonds, stocks, debentures, jewellery, etc.
- **Income from house property:** Rental income received by the taxpayer from their house property falls in this category. However, the house property must not be used for business or professional purpose.
- **Income from business:** All profits earned from a business or by providing professional services are included in this category. Such income is taxed as per applicable tax slab rates.
- **Income from other sources:** Any income earned by the taxpayer from sources other than the ones mentioned above is listed in this category. Some of these incomes include:
 - Winning from horse race or lottery
 - Dividends
 - Pension after the pensioner's death
 - Rental income (other than house property)
 - Gifts
 - Interest on government bonds, securities, etc.

Types of Income Tax Levied in India - Broadly, there are two kinds of taxes:

- Direct tax. And
- Indirect tax.

Direct Taxes are taxes levied directly on the person who is ultimately bearing the cost of the tax. Income Tax is the most prominent form of Direct Tax.

Indirect Tax are taxes that are levied indirectly on goods/ services such as Goods and Service Tax on production of goods, transport of goods, sales of goods and services etc. These taxes are levied on the person providing these goods/ services but are borne by the ultimate user of the goods and services. GST, Professional Tax, Customs Duty etc. are examples of Indirect taxes.

Within the purview of Income Tax (IT) which is a Direct Tax, there are certain terms to be understood with respect to taxation. Some of these are:

Long term Capital Gain Tax and Short-Term Capital Gain Tax

Assets are considered long term or short term on the basis of what they are and how long they are held.

Shares and securities of a company that are listed on a recognized stock exchange, mutual funds, units of equity oriented mutual funds and zero-coupon bonds are considered long term when they are held for a period greater than 12 months.

Immovable property such as land, building, house etc. and movable property like jewellery are considered long term when they are held for a period greater than 24 months.

This distinction is important as the income tax rates applied to capital gains differ greatly.

Where short term capital gains are taxed at 20% or the rate of the individuals slab as applicable, long term capital gains are taxed at 12.5%.

What Is TDS: Tax Deducted At Source?

TDS means that the person who is responsible for making payments to you will deduct tax before paying you the balance amount. In this way, tax is deducted at the source of income itself. On deducting the tax, this amount has to be paid by the person deducting into the governments account within the stated time period and they will issue you a TDS certificate.

This TDS certificate is proof of the tax having been deducted from your income and the proof you need to claim the same as credit.

Examples of payments on which Tax is deducted at source is Salary, interest on fixed deposits in banks, other payments to vendors exceeding the limits specified etc.

TDS is applicable to various types of income, such as salary, interest, rent, commission, etc. It is the responsibility of the person making the payment to deduct TDS and deposit it with the government. The individual whose income is being taxed can then claim credit for the TDS that was paid by presenting a TDS certificate or Form 26AS.

RESIDENTIAL STATUS [SEC. 6]

Based on Section 6 of the Income Tax Act, 1961, an individual's residential status determines their scope of taxable income in India for a financial year. Residential status is distinct from a person's citizenship and can change every year depending on their physical presence in India.

For an individual, there are three classifications of residential status:

- Resident and Ordinarily Resident (ROR)
- Resident but Not Ordinarily Resident (RNOR)
- Non-Resident (NR)

To be considered a resident, an individual must meet at least one basic condition related to their presence in India: either staying 182 days or more in the financial year, or staying at least 60 days in the financial year and 365 days or more in the preceding four financial years. Exceptions to the 60-day rule apply to certain individuals like Indian citizens leaving for employment abroad or visiting India, where the requirement extends to 182 days. Under Section 6(1A), an Indian citizen can be deemed a resident (RNOR) if their Indian income exceeds ₹15 lakh, they aren't taxed elsewhere based on residence, and don't meet standard residency conditions.

If an individual qualifies as a resident, further classification as ROR or RNOR depends on additional conditions under Section 6(6), related to residency in 2 out of the 10 preceding years and presence for 730 days or more in the preceding 7 years. An individual is ROR if they meet a basic condition and both additional conditions. They are RNOR if they meet a basic condition but fail either or both additional conditions, or if they are a deemed resident. An individual is an NR if they do not meet any basic conditions. Residential status determines tax liability; RORs are taxed on global income, while RNORs and NRs have more limited tax obligations in India.

INCOMES WHICH DO NOT FORM PART OF TOTAL INCOME

Under the Indian Income Tax Act, 1961, certain incomes are explicitly excluded from being part of an individual's "Total Income" and are therefore exempt from tax. These exemptions are primarily covered under Section 10 of the Act.

Exemptions on income from salary

- House Rent Allowance (HRA) [Sec 10(13A)]: A partial exemption is available on the HRA component of a salary, subject to certain conditions and limits.
- Leave Travel Allowance (LTA) [Sec 10(5)]: Exempts travel expenses paid by an employer for domestic travel for the employee and their family. This exemption can be claimed for two journeys in a four-year block.
- Gratuity [Sec 10(10)]: For government employees, the entire gratuity amount is exempt. For non-government employees, the exemption is available subject to specific conditions and a maximum limit.
- Commuted pension [Sec 10(10A)]: A government employee's commuted pension (lump sum payment) is fully exempt. A partial exemption applies to non-government employees.
- Leave encashment on retirement [Sec 10(10AA)]: This is fully exempt for government employees. For private-sector employees, the exemption is subject to certain limits.
- Compensation on voluntary retirement [Sec 10(10C)]: Up to ₹5 lakh of compensation received under a voluntary retirement scheme is exempt, subject to certain conditions.

Exemptions on investments and funds

- Life insurance policy maturity proceeds [Sec 10(10D)]: The amount received upon the maturity of an eligible life insurance policy, including any bonus, is generally tax-exempt. This is subject to conditions regarding the premium amount relative to the sum assured.
- Provident funds [Sec 10(11) & 10(12)]: The lump sum payment from a Statutory Provident Fund or a Recognized Provident Fund on retirement or termination of service is tax-exempt. Interest earned on contributions exceeding a specified limit (₹2.5 lakhs per year for some funds) may be taxable.
- Sukanya Samriddhi Account [Sec 10(11A)]: Interest and withdrawals from this scheme for a girl child are fully exempt from tax.
- National Pension System (NPS) [Sec 10(12A) & 10(12B)]: Up to 60% of the total amount received upon closing the account or 25% of the contribution for partial withdrawal is tax-exempt.

- Income from mutual funds [Sec 10(35)]: The exemption on income from certain mutual fund units ended on March 31, 2020. However, specific types of income distributed by business trusts and securitisation trusts may still be exempt.

Exemptions on agricultural income

- Agricultural income [Sec 10(1)]: Any income derived from agricultural land in India is fully exempt from tax. However, if an individual's non-agricultural income is above the basic exemption limit, the net agricultural income is considered for calculating the tax rate on the non-agricultural income.
- Capital gains on urban agricultural land [Sec 10(37)]: Capital gains from the compulsory acquisition of urban agricultural land are exempt if certain conditions are met.

Other notable exemptions

- Share of profit from a partnership firm [Sec 10(2A)]: A partner's share in the profit of a firm or Limited Liability Partnership (LLP) is fully exempt from tax in the hands of the partner, as the firm is taxed separately.
- Income of a Hindu Undivided Family (HUF) member [Sec 10(2)]: Any sum received by an HUF member from the family's income is exempt.
- Scholarship income [Sec 10(16)]: Scholarships granted to meet the cost of education are fully exempt.
- Awards and rewards [Sec 10(17A)]: Rewards granted by the Central or State Government for approved purposes are exempt.
- Certain allowances for government employees working abroad [Sec 10(7)]: Allowances paid by the Indian government to a citizen for rendering service outside India are exempt.
- Compensation for disaster [Sec 10(10BC)]: Compensation received from the government due to a disaster is exempt, except to the extent that a deduction for the related loss was already claimed.
- Gifts: Gifts received from certain relatives, at the time of marriage, or by way of inheritance are tax-free. Gifts from non-relatives are tax-free only if the total value does not exceed ₹50,000.

Important considerations

- Regime Choice: Certain exemptions, particularly allowances like HRA and LTA, are not available to taxpayers who choose the new tax regime.
- Disclosure: Even exempt income must be disclosed in the Income Tax Return (ITR) for transparency and accurate tax assessment.

SALARY INCOME

A person's "salary income" is defined for tax purposes under the Income Tax Act, 1961, encompassing all forms of remuneration received from an employer, whether monetary or non-monetary. Salary income is taxed on a "due" or "receipt" basis, whichever is earlier. The taxable salary is computed by adding taxable allowances, perquisites, and other benefits, then subtracting eligible deductions.

Components of salary

The definition of salary is much broader than just basic pay and includes:

- **Basic salary:** The core, fixed portion of pay, which is fully taxable.
- **Allowances:** Monetary benefits paid for specific purposes, which can be fully taxable, partially taxable, or fully exempt.
- **Perquisites:** Non-monetary or cash benefits provided by the employer, such as housing or a company car. These can be taxable for all or specified employees or fully exempt.
- **Retirement benefits:** Payments such as pension, gratuity, and leave encashment are included in salary, with specific exemption rules.
- **Profits in lieu of salary:** This includes termination compensation or payments from an unrecognised provident fund.
- **Bonus and commission:** Both are fully taxable.
- **Advance salary:** Taxable upon receipt.

Allowances and their taxability

Allowances are cash payments given by the employer for certain expenses.

- **Fully taxable allowances:** These include Dearness Allowance (DA), City Compensatory Allowance (CCA), and overtime allowance.
- **Partially taxable allowances:** The following allowances are exempt up to a specified limit.
 - **House Rent Allowance (HRA):** The least of the actual HRA received, rent paid minus 10% of salary, or 40-50% of salary is exempt.
 - **Leave Travel Allowance (LTA):** Tax exemption is available for travel expenses for up to two journeys in a block of four years.
 - **Children Education Allowance:** Exempt up to ₹100 per month per child, for a maximum of two children.
 - **Hostel Expenditure Allowance:** Exempt up to ₹300 per month per child, for a maximum of two children.
- **Tax-exempt allowances:** These cover expenses for official duties, and the exemption is limited to the amount actually spent. Examples include:
 - Travelling and daily allowance
 - Uniform allowance
 - Helper allowance

Perquisites and their valuation

Perquisites are non-cash benefits or facilities provided by the employer, valued and added to the employee's taxable salary.

- **Taxable perquisites for all employees:**

- Rent-free accommodation
- Supply of utilities like gas, water, and electricity
- Interest-free or concessional loans above ₹20,000
- Club and gym facility usage
- Taxable perquisites for specified employees only: These include non-monetary benefits like a car or free education facility. A "specified employee" is a director, a person with a substantial interest (>20% voting power), or an employee with an annual salary over ₹50,000 (excluding non-cash perquisites).
- **Tax-exempt perquisites:**
 - Medical facilities in a hospital maintained by the employer or government
 - Use of a laptop or computer for official purposes
 - Meal coupons up to ₹50 per meal (for the old tax regime)
 - Employer's contribution to NPS or PF up to ₹7.5 lakhs annually

Deductions from salary

After calculating the gross salary by adding taxable components, a salaried individual can claim specific deductions to arrive at their taxable income.

Deductions under Section 16

- Standard Deduction: A fixed deduction of ₹50,000 is available to all salaried employees. For AY 2025-26, the new tax regime may offer a higher amount for certain employees.
- Entertainment Allowance: This deduction is only for government employees and is limited to the lower of:
 - ₹5,000
 - One-fifth of the basic salary
 - Actual entertainment allowance received
- Professional Tax: The amount of professional tax paid to the state government is fully deductible.

Deductions under Chapter VI-A

These are separate from the deductions under Section 16 and can be claimed by salaried employees under the old tax regime.

- Section 80C: Allows a deduction up to ₹1.5 lakh for investments and expenses such as contributions to the Provident Fund (PF), Public Provident Fund (PPF), life insurance premiums, and children's tuition fees.
- Section 80D: Permits a deduction for health insurance premiums paid for self, family, and parents.
- Section 80E: Deduction for interest on an education loan.

Old versus new tax regime

Taxpayers can choose between the old and new tax regimes. The main difference for salaried income is the availability of exemptions and deductions.

- **Old Regime:** Allows most deductions and exemptions, including HRA exemption and all Section 16 and Chapter VI-A deductions.
- **New Regime:** Offers lower tax rates but fewer exemptions and deductions. The standard deduction of ₹50,000 is available, but deductions for HRA, LTA, and professional tax are not.

HOUSE PROPERTY INCOME

Income from house property is taxable under the Income Tax Act, 1961, and applies to the rental income or the potential annual value of a building and any land attached to it. This income is assessed under a specific head, separate from other sources of income.

Conditions for taxability

For income from a property to be taxable under this head, it must be a building or land attached to a building, the taxpayer must be the owner (legal or deemed), and the property must not be used for the owner's business or profession. Income from vacant land and property used for business is taxed under other heads.

Classification of house property

Properties are classified for income calculation:

Self-occupied property (SOP)

An SOP is used for the owner's residence. Up to two properties can be treated as SOPs. The Gross Annual Value (GAV) is considered nil, but interest on a home loan can still be deducted, potentially resulting in a loss.

Let-out property (LOP)

An LOP is rented out for some or all of the year. GAV is based on the actual rent received, or a combination of expected and actual rent if let out for only part of the year.

Deemed to be let-out property (DLOP)

If an individual owns more than two properties, any beyond the first two that are not let out are treated as DLOPs. A notional rent based on market value is used as the GAV.

Calculation of income from house property

Income is calculated in several steps:

1. **Determine GAV:** This is the higher of the expected or actual rent (with adjustments for unrealized rent).
2. **Deduct municipal taxes:** Taxes paid by the owner are deducted from GAV.
3. **Arrive at Net Annual Value (NAV):** This is GAV minus municipal taxes.
4. **Claim deductions under Section 24:**

- A standard deduction of 30% of NAV is allowed for repairs.
- Interest on home loans is deductible. For SOPs, there are limits on the deduction amount, while for LOPs, there is no limit. Pre-construction interest can be deducted over five years.

Treatment of loss from house property

If deductions exceed NAV, a loss is incurred. This loss can be set off against other income up to ₹2 lakh per year. Any remaining loss can be carried forward for up to 8 years and set off only against future house property income.

Special scenarios and exemptions

Joint owners are taxed on their share of income. In cases of deemed ownership, such as transferring property to a spouse or minor child, the transferor is taxed. Certain properties like those on agricultural land or used for charitable purposes are exempt from tax. If rent includes charges for services, the rental income must be separated from other income components.

CAPITAL GAINS

Capital gain is denoted as the net profit that an investor makes after selling a capital asset exceeding the price of purchase. The entire value earned from selling a capital asset is considered as taxable income. To be eligible for taxation during a financial year, the transfer of a capital asset should take place in the previous fiscal year.

Financial gains against a sale of an asset are not applicable to inherited property. It is considered only in case of transfer of ownership. According to the Income Tax Act, assets received as gifts or by inheritance are exempted in the calculation of income for an individual.

Buildings, lands, houses, vehicles, Mutual Funds, and jewellery are a few examples of capital assets. Also, the rights of management or legal rights over any company can be considered as capital assets.

The following are not included under capital assets –

- Any stock, consumables or raw materials that are held for the purpose of business or profession.
- Goods such as clothes or furniture that are held for personal use.
- Land for agriculture in any part of rural India.
- Special bearer bonds that were issued in 1991.
- Gold bonuses issued by the Central Government such as the 6.5% gold bonus of 1977, 7% gold bonus of 1980 and defense gold bonus of 1980.
- Gold deposit bonds that were issued under the gold deposit scheme (1999) or the deposit certificates that were issued under the Gold Monetisation Scheme (2015).

Types of Capital Gain

Depending on the tenure of holding an asset, gains against an investment can be broadly divided into the following types –

- **Short Term Capital Gain**

If an asset is sold within 36 months of acquisition, then the profits earned from it is known as short term capital gains. For instance, if a property is sold within 27 months of purchase, it will come under short term capital gains.

However, tenure varies in the case of different assets. For Mutual Funds and listed shares, Long term capital gain happens if an asset is sold after holding back for 1 year.

- **Long Term Capital Gain**

The profit earned by selling an asset that is in holding for more than 36 months is known as long-term capital gains. After 31st March 2017, a holding period for non-moveable properties was changed to 24 months. However, it is not applicable in case of movable assets such as jewellery, debt-oriented Mutual Funds, etc.

Furthermore, a few assets are considered as short-term capital assets if the holding period is less than 12 months. Here is a list of assets that are considered according to the rule mentioned above –

- Equity shares of any organization listed on a recognized Indian stock exchange.
- Securities like bonds, debentures, etc. that are listed on any Indian stock exchange.
- UTI units, regardless of being quoted or unquoted.
- that are equity-oriented, whether they are quoted or not.
- Zero-coupon bonds.

All the assets mentioned above are considered as long-term capital assets if they are held for 12 months or more. In case of any asset acquired by inheritance or gift, then the period for which an asset is owned by a previous owner is considered.

Furthermore, in the case of bonus shares or right shares, the period of holding is considered from the date of allotment.

Here is a duration chart on an income generated against the sale of assets–

Immovable assets (e.g. real estate)	Less than 2 years	More than 2 years
Moveable property(e.g. Gold)	Less than 3 years	More than 3 years
Listed Shares	Less than 1 year	More than 1 year
Equity Oriented Mutual Funds	Less than 1 year	More than 1 year
Debt Oriented Mutual Funds	Less than 3 years	More than 3 years

Calculation of Capital Gains

The calculations of capital gains are dependent on the type of assets and their holding period. A few terms that an individual must know before calculating gains against their capital investments are here as follows –

- Full Value Consideration –

It is the consideration that is received by a seller in return for a capital asset.

- Cost of Acquisition –

The cost of acquisition is the value of an asset when a seller acquires it.

- Cost of Improvement –

The cost of improvement is the amount of expenses incurred by a seller in making any additions or alterations to a capital asset.

To calculate the value of short-term capital gain, the full amount of consideration is required to be determined at first. From the obtained value, cost of acquisition, cost of improvement and the total expenditure incurred concerning the transfer of ownership has to be deducted. This resultant value will be the capital gain on investments.

Indexed Cost of Acquisition

The cost of acquisition is calculated on the present terms by applying the CII ([Cost Inflation Index](#)). It is done to adjust the values by taking into account the inflation that takes place over the years while holding the asset.

The indexed cost of acquisition can be estimated as the ratio of the Cost Inflation Index (CII) of the year when an asset was sold by a seller and that of the year when the property was acquired or the financial year 2001-2002, whichever is later multiplied by the Cost of acquisition.

Suppose a person acquired an asset at Rs. 50 Lakh in the financial year 2004-2005 and she decided to transfer the property in the fiscal year 2018-19. The CII of the financial year 2004-05 and 2018-19 were 113 and 280 respectively.

Therefore, the indexed cost of acquisition will be $50 \times 280 / 113 = \text{Rs. } 123.89 \text{ Lakh}$.

Indexed Cost of Improvement

The indexed cost of the improvement is calculated by multiplying the associated cost of improvement that was required to the CII of the year divided by the CII of the year in which the improvement took place.

INCOME FROM BUSINESS OR PROFESSION

Income from Business or Profession (PGBP) is a head of income under the Income Tax Act, 1961, that taxes the profits and gains of any business or profession carried on by a person during the previous financial year. This differs from salary income and applies to individuals, Hindu Undivided Families (HUFs), partnership firms, and companies.

What constitutes business or profession income

Section 28 of the Income Tax Act details the types of income chargeable under PGBP, including profits from business or profession, compensation related to contract termination, income from services to members by professional associations, the value of business benefits, and

remuneration received by a partner from a firm. It also includes sums from Keyman insurance policies, and the fair market value of inventory converted to capital assets.

Calculation of PGBP

Taxable income under PGBP is calculated by subtracting allowable business expenses from total income.

Allowable deductions (Sections 30–37)

Common deductible expenses include rent, rates, and taxes for business premises; repairs and insurance; and depreciation on tangible and intangible assets. Expenses for scientific research, insurance premiums, employee bonuses, interest on borrowed capital, contributions to employee welfare schemes, and bad debts are also deductible. Other general expenses incurred "wholly and exclusively" for the business, such as advertising or legal fees, may also be deducted.

Disallowed expenses (Sections 40–40A)

Certain expenses cannot be deducted, such as personal expenses, capital expenditure (with exceptions), income tax paid, and payments to non-residents where TDS was not deducted. Cash payments exceeding ₹10,000 to a single person in a day (with exceptions) and partner remuneration not per the partnership deed or exceeding limits are also disallowed.

Presumptive taxation schemes

Presumptive taxation schemes simplify compliance for small taxpayers by exempting them from maintaining detailed accounts.

Section 44AD (for businesses)

This scheme applies to resident individuals, HUFs, and partnership firms (excluding LLPs) with a turnover up to ₹3 crore (if cash receipts are 5% or less of total) or ₹2 crore (if cash receipts exceed 5%). Presumptive income is 6% for digital transactions and 8% for cash transactions. Opting in requires staying in the scheme for five years; opting out makes the taxpayer ineligible for the next five years.

Section 44ADA (for professionals)

Applicable to resident individuals in specified professions with gross receipts up to ₹75 lakh (if cash receipts are 5% or less) or ₹50 lakh (if cash receipts exceed 5%). Presumptive income is 50% of gross receipts. No further business expenses are allowed, but Chapter VI-A deductions can be claimed.

Section 44AE (for goods carriage operators)

For businesses operating goods carriages, owning no more than 10 vehicles. Presumptive income is ₹1,000 per ton for heavy goods vehicles and ₹7,500 for other vehicles, per month or part of a month.

Tax rates

PGBP income is added to other income to find the total taxable income, taxed at applicable slab rates for individuals or a flat rate for firms and companies.

For individuals

Tax is levied at regular income tax slab rates, varying between old and new tax regimes.

For firms (including LLPs)

A flat 30% tax rate applies. A 12% surcharge is added if income exceeds ₹1 crore, plus a 4% Health and Education Cess on the total tax and surcharge.

Return filing

ITR-3 is for individuals and HUFs with business/profession income not using presumptive taxation. ITR-4 (Sugam) is a simplified form for eligible resident individuals, HUFs, and firms (excluding LLPs) with total income up to ₹50 lakh using a presumptive scheme.

INCOME FROM OTHER SOURCES

'Income from Other Sources' is a residual category in the Income Tax Act, 1961, that covers any taxable income not classified under the four primary heads: Salaries, House Property, Profits and Gains from Business or Profession (PGBP), and Capital Gains. This ensures all taxable income is accounted for, regardless of its nature.

Key examples of income from other sources

- **Interest income:** Interest earned on savings bank accounts, fixed deposits (FDs), recurring deposits (RDs), and company deposits is taxable under this head.
- **Winnings from lotteries, gambling, and games:** Income from lotteries, card games, horse races, crossword puzzles, game shows, betting, and other forms of gambling is included here.
- **Gifts:** Any gift of money or property received without consideration is taxable if its aggregate value exceeds ₹50,000 in a financial year. Gifts received from specified relatives, on the occasion of marriage, or through inheritance are exempt.
- **Dividends:** Dividend income received from shares and mutual funds is taxable. A deduction for interest expenses incurred to earn this income is allowed, subject to a limit.
- **Family pension:** A monthly pension received by the legal heir of a deceased employee is taxable under this head.
- **Rental income from assets:** Rent received from letting out of plant, machinery, or furniture, when it is not part of a regular business, is taxed here. This also applies to the inseparable composite letting of a building with plant, machinery, or furniture.
- **Interest on compensation:** Any interest received on compensation or enhanced compensation is taxable.
- **Advance money forfeited:** Any sum received as an advance for the transfer of a capital asset that is subsequently forfeited because the deal fails is treated as income from other sources.

Deductions allowed under Section 57

Certain expenses incurred for the purpose of earning the income are allowed as deductions under Section 57 of the Income Tax Act.

- **Expenses for dividend/interest income:** A reasonable amount paid as commission or remuneration to a banker or other person to realize dividend or interest income is deductible.
- **Expenses for rental income from assets:** Expenses such as repairs, insurance, and depreciation on the let-out plant, machinery, and furniture are deductible.
- **Deduction on family pension:** For family pension income, a standard deduction is allowed, which is the lower of one-third of the pension or ₹15,000 (or ₹25,000 under the new tax regime, effective AY 2025-26).
- **Deduction on interest on enhanced compensation:** 50% of the interest received on compensation or enhanced compensation is allowed as a deduction.
- **General deduction:** Any other revenue expenditure (not capital or personal) incurred wholly and exclusively for earning such income is deductible.

Tax rates and non-deductible expenses

The tax rate for income from other sources depends on the nature of the income.

- **Casual income:** Winnings from lotteries, games, and betting are taxed at a flat rate of 30% (plus applicable cess), with no deductions allowed for related expenses.
- **Other income:** All other types of income under this head are added to the taxpayer's total income and are taxed according to the applicable income tax slab rates.
- **Non-deductible expenses:** Expenses of a personal nature and those related to earning casual income are not allowed as deductions.

PROVISIONS OF CLUBBING, SET-OFF AND CARRY FORWARD OF LOSSES

Under the Income Tax Act, 1961, the provisions for clubbing, set-off, and carry forward of losses are designed to prevent tax evasion and provide relief to taxpayers who have incurred financial losses.

Provisions of clubbing of income

"Clubbing of income" refers to a provision where the income of another person is included in the taxpayer's own income for the purpose of computing taxes. This is typically done to prevent individuals from transferring assets or income to family members to minimize their tax liability.

Key scenarios where clubbing provisions apply:

- Transfer of income without transferring the asset.
- Revocable transfers of assets.
- Income of a minor child, with exceptions for income from special talents or if the child is disabled.
- Transfer of assets to a spouse for inadequate consideration, with exceptions for divorce settlements or pre-marriage transfers.
- Remuneration received by a spouse from a concern where the individual has a substantial interest, if the spouse lacks technical or professional qualifications.

- Transfer of assets to a daughter-in-law for inadequate consideration.
- Transfers made for the benefit of a spouse or daughter-in-law without adequate consideration.
- Income from property transferred by a member to a Hindu Undivided Family (HUF) for inadequate consideration.

Provisions for set-off of losses

"Set-off" is the process of adjusting losses against profits or income within the same financial year, either within the same head of income (intra-head) or against a different head of income (inter-head).

Intra-head adjustments: Losses from one source of income can be set off against profits from another source under the same head of income. For example, a loss from one business can be set off against profit from another business. There are exceptions, such as speculative business losses, long-term capital losses, and losses from racehorses, which can only be set off against specific types of income.

Inter-head adjustments: Remaining losses after intra-head adjustments can be set off against income from a different head of income in the same year. For instance, a house property loss can be set off against salary income. However, there are restrictions, including limits on setting off business losses against salary, capital losses against other income, and any losses against casual income. House property loss set-off against other income is capped under the old tax regime and not permitted under the new regime.

Provisions for carry forward of losses

"Carry forward" allows unadjusted losses to be carried to future years if they cannot be fully set off in the current year, provided the income tax return is filed on time.

Carry forward provisions for different types of losses:

- **Loss from house property:** Can be carried forward for up to 8 years and set off only against house property income in future years.
- **Non-speculative business loss:** Can be carried forward for up to 8 years and set off against business income in subsequent years.
- **Speculative business loss:** Can be carried forward for up to 4 years and set off only against speculative business income.
- **Loss from specified business (Section 35AD):** Can be carried forward indefinitely and set off against profits from any other specified business.
- **Capital losses:** Both long-term and short-term capital losses can be carried forward for up to 8 years. Long-term capital loss can only be set off against long-term capital gains, while short-term capital loss can be set off against both short-term and long-term capital gains.
- **Unabsorbed depreciation:** Can be carried forward indefinitely and set off against any head of income except salary.

- **Loss from owning and maintaining racehorses:** Can be carried forward for up to 4 years and set off only against income from the same activity.

DEDUCTIONS FROM GROSS TOTAL INCOME

Deductions from gross total income (GTI) are specific amounts subtracted from your total earnings to arrive at your taxable income. Taxpayers can use these to reduce their tax liability, typically by making eligible investments or incurring certain expenditures. These deductions are primarily covered under Chapter VI-A of the Income Tax Act of 1961, from Section 80C to Section 80U.

Key points on deductions from gross total income

- **Old vs. New Tax Regime:** These deductions are primarily available under the Old Tax Regime. The New Tax Regime, which is the default option, offers lower tax rates but removes most exemptions and deductions, including those under Section 80C. Taxpayers can choose the regime that offers greater financial benefit.
- **Eligibility:** Most deductions under Chapter VI-A are available to individuals and Hindu Undivided Families (HUFs). Companies and firms are generally not eligible for deductions under sections like 80C.
- **Proof of investment:** To claim deductions, taxpayers must submit proof of their eligible investments and expenditures to tax authorities.

Major deductions under Chapter VI-A

Section 80C: Maximum deduction of ₹1.5 lakh

This is one of the most popular sections, offering a combined maximum deduction of ₹1.5 lakh per financial year for various investments and expenditures. Eligible items include:

- **Investments:**
 - **Public Provident Fund (PPF):** A government-backed, long-term savings scheme.
 - **Life Insurance Premiums:** Paid for oneself, a spouse, or children.
 - **Equity-Linked Savings Scheme (ELSS):** A type of mutual fund with a 3-year lock-in period.
 - **National Savings Certificates (NSC):** A fixed-income, government-backed scheme.
 - **5-Year Tax-Saving Fixed Deposits:** Term deposits with a minimum 5-year lock-in period.
- **Expenses:**
 - **Home Loan Principal Repayment:** The principal portion of the EMI qualifies.
 - **Tuition Fees:** For the full-time education of up to two children in India.
 - **Stamp Duty and Registration Charges:** Paid for the purchase of a new house.

Section 80CCD: For contributions to the National Pension System (NPS)

This section offers deductions for contributions to the NPS, which are separate from the main ₹1.5 lakh limit of Section 80C.

- **Section 80CCD(1B):** An additional deduction of up to ₹50,000 is available for voluntary contributions by an individual to NPS.
- **Section 80CCD (2):** Contributions made by an employer to an employee's NPS account are also deductible, up to 10% of the employee's basic salary plus dearness allowance.

Section 80D: For health insurance and medical expenses

This covers medical insurance premiums and expenses for oneself, a spouse, dependent children, and parents.

- **Premium paid for self, spouse, and dependent children:** Up to ₹25,000. This limit increases to ₹50,000 if the insured is a senior citizen.
- **Premium for parents:** An additional deduction of up to ₹50,000 is available if the parents are senior citizens.
- **Preventive health check-ups:** Expenses of up to ₹5,000 are covered within the overall limits.

Section 80E: For interest on education loans

This deduction is for the interest paid on a loan taken for higher education for oneself, a spouse, or children.

- **Unlimited deduction:** There is no upper limit on the amount of interest that can be claimed as a deduction.
- **Time limit:** The deduction is available for up to 8 years, or until the interest is fully repaid, whichever is earlier.

Section 80G: For donations to charitable organizations

Donations made to specific funds and charitable institutions are eligible for deductions.

- **Deduction percentage:** The deductible amount can be 100% or 50% of the donated sum, depending on the recipient fund.
- **Payment mode:** Only non-cash donations (cheque or digital) or cash donations up to ₹2,000 are eligible.

Other notable deductions

- **Section 80GG:** Allows a deduction for house rent paid by individuals who do not receive House Rent Allowance (HRA).
- **Section 80TTA:** Provides a deduction of up to ₹10,000 on interest earned from a savings bank account.
- **Section 80TTB:** Provides a higher deduction of up to ₹50,000 for senior citizens on interest income from deposits.
- **Section 80U:** Provides deductions for individuals with disabilities.

COMPUTATION OF VARIOUS ENTITIES

Income tax computation differs for various entities, such as individuals, companies, partnership firms, and trusts, based on their legal structure and the applicable tax laws. In India, the income tax is generally levied on the total income after accounting for eligible exemptions and deductions, along with any applicable surcharge and cess.

Individuals and Hindu Undivided Families (HUFs)

The income tax for individuals and HUFs is computed based on their residential status and a slab-based tax system. Taxpayers can choose between the old tax regime with deductions or the new, simplified regime with lower rates.

Computation process:

- **Calculate income under five heads:** Salary, House Property, Profits and Gains of Business or Profession (PGBP), Capital Gains, and Income from Other Sources.
- **Aggregate the income:** Combine the income from all sources to arrive at the Gross Total Income (GTI).
- **Reduce deductions:** Subtract eligible deductions under Chapter VI-A (e.g., Section 80C, 80D) and available exemptions to arrive at the net taxable income.
- **Apply tax rates:** The net taxable income is taxed according to the applicable slab rates of the chosen tax regime.
- **Add surcharge and cess:** If the total income exceeds a specific limit, a surcharge is levied on the tax amount. A Health and Education Cess of 4% is added to the tax (including surcharge).
- **Consider Alternative Minimum Tax (AMT):** In the old regime, AMT is applicable if the tax payable is less than 18.5% of the "adjusted total income" and the assessee has claimed certain deductions.

Partnership firms and Limited Liability Partnerships (LLPs)

Partnership firms and LLPs are treated as separate taxable entities and are subject to a uniform tax rate.

Computation process:

- **Flat tax rate:** A flat rate of 30% is levied on the total taxable income.
- **Deductions:** A firm can claim deductions for business expenses, including salaries and interest paid to working partners, subject to prescribed limits.
- **Surcharge and cess:** A surcharge of 12% is applicable if the total income exceeds ₹1 crore. A 4% Health and Education Cess is added to the total tax liability.
- **Alternate Minimum Tax (AMT):** Firms are liable for AMT at a rate of 18.5% of their "adjusted total income" if the regular tax payable is lower, unless they have opted for a special tax regime.

- **Partner's income:** A partner's share of the firm's profits is exempt from tax in their individual hands. However, any salary, bonus, commission, or interest received is taxable as "PGBP" income for the partner.

Companies (Domestic and Foreign)

The taxation of companies depends on whether they are domestic or foreign and their turnover. The computation involves determining taxable profits and then applying the relevant tax rate, surcharge, and cess.

Computation process:

- **Domestic companies:**
 - **Standard rate:** A 30% rate applies to companies with higher turnover.
 - **Concessional rates:** Lower rates are available based on turnover or by opting into special provisions:
 - **25%:** For companies with a turnover up to ₹400 crore in a previous financial year or if they opt for Section 115BA.
 - **22%:** For companies opting for Section 115BAA, forgoing many deductions.
 - **15%:** For new domestic manufacturing companies opting for Section 115BAB.
- **Foreign companies:** Generally taxed at a higher standard rate of 40%, with specific provisions for royalties and fees for technical services.
- **Minimum Alternate Tax (MAT):** Domestic companies that pay tax below 15% of their book profit must pay MAT at 15% of the book profit. Companies opting for Section 115BAA or 115BAB are exempt from MAT.

Trusts (Charitable and Private)

The taxability of a trust depends on its registration status (charitable or private), the nature of its income, and whether the shares of the beneficiaries are specific or non-specific.

Charitable and religious trusts (Registered):

- **Exemption:** Income used for charitable or religious purposes is generally exempt from tax, provided at least 85% of the income is applied for such purposes. Voluntary contributions are also exempt under certain conditions.
- **Taxable income:** Income not applied for charitable purposes or arising from certain business activities may be taxed at the maximum marginal rate (MMR).
- **Anonymous donations:** Anonymous donations exceeding a specified limit are taxed at 30%.

Private trusts:

- **Determinate shares:** If the shares of the beneficiaries are known, the trustee can be taxed at the individual beneficiary's slab rate. If the trust has business income, the MMR applies unless specific conditions are met.
- **Indeterminate shares:** The trustee is taxed as a representative assessee, with income generally charged at the MMR.

Co-operative societies

Co-operative societies are taxed based on their income, with special provisions and concessional rates available.

Computation process:

- **Slab rates:** Normal income is taxed in slabs: 10% on the first ₹10,000, 20% on the next ₹10,000, and 30% on the balance.
- **Concessional rates:** Concessional tax rates are available by opting for specific sections:
 - **22%:** By opting for Section 115BAD (with a 10% surcharge).
 - **15%:** For new domestic manufacturing co-operative societies opting for Section 115BAE.
- **Surcharge and cess:** The standard surcharge is 7% or 12% depending on the income slab, while for special rate societies, it is a flat 10%. A 4% Health and Education Cess is also applicable.
- **Alternate Minimum Tax (AMT):** For co-operative societies not opting for the concessional rates, AMT is levied at 15% if the regular tax payable is lower.
- **Deductions under Section 80P:** Many co-operative societies are eligible for deductions under Section 80P based on their activities, although this is restricted for cooperative banks.

TAX PLANNING, AVOIDANCE AND EVASION (INCLUDING GAAR)

This note outlines the critical distinctions between tax planning, tax avoidance, and tax evasion, including India's General Anti-Avoidance Rule (GAAR).

Tax planning

Tax planning is the ethical and legal arrangement of your financial affairs to minimize tax liability using provisions explicitly permitted by the law.

- **Nature:** It is a legal and moral practice, encouraged by the government.
- **Intent:** The objective is to reduce your tax burden by making full use of all available deductions, exemptions, credits, and allowances.
- **Methods:** This includes investing in tax-saving instruments like Public Provident Fund (PPF), Equity Linked Savings Schemes (ELSS), or claiming deductions for home loan interest.

- **Consequences:** The result is a reduced tax liability and better financial health without the risk of penalties.

Tax avoidance

Tax avoidance involves using legal loopholes or ambiguities in the tax laws to reduce tax liability. It is technically legal but is considered against the spirit of the law and is often deemed immoral.

- **Nature:** It is legal but operates in a morally questionable "gray area".
- **Intent:** The goal is to exploit legislative gaps, not to use the benefits in the manner intended by the law.
- **Methods:** Examples include creating complex financial structures or routing transactions through shell companies in low-tax jurisdictions (tax havens) to shift profits and claim undue tax benefits.
- **Consequences:** Though it is not illegal in itself, tax avoidance can attract scrutiny from tax authorities, lead to legislative changes to close loopholes, and result in reputational damage.

Tax evasion

Tax evasion is the deliberate, fraudulent, and illegal act of not paying taxes owed to the government.

- **Nature:** It is an illegal and criminal offense.
- **Intent:** The motive is to deceive tax authorities and conceal actual income to reduce or completely avoid paying taxes.
- **Methods:** This includes underreporting income, inflating expenses, falsifying documents, and hiding financial activities in undeclared or offshore accounts.
- **Consequences:** Tax evasion carries severe penalties, which can include hefty fines (100% to 300% of the tax evaded), interest on the unpaid amount, prosecution, and imprisonment of up to seven years.

General Anti-Avoidance Rule (GAAR)

GAAR is a powerful anti-tax avoidance legislation designed to counter aggressive tax planning schemes that lack commercial substance.

- **Purpose:** It empowers tax authorities to deny tax benefits arising from "Impermissible Avoidance Arrangements" (IAAs), even if they are technically compliant with specific tax provisions. GAAR's principle is "substance over form," meaning it looks at the true commercial purpose of a transaction, not just its legal structure.
- **Applicability:** GAAR, which came into effect in India on April 1, 2017, applies to any arrangement where the "main purpose" is to obtain a tax benefit. This includes both domestic and international arrangements.
- **Impermissible Avoidance Arrangement (IAA):** An arrangement can be declared an IAA if it meets two conditions:
 1. The main purpose is to obtain a tax benefit.

2. It exhibits one or more "tainted elements," such as:

- Creating rights or obligations not usually created in arm's-length dealings.
- Misusing or abusing tax law provisions.
- Lacking commercial substance (e.g., circular flow of funds).
- **Threshold:** GAAR is not invoked if the tax benefit from an arrangement is Rs. 3 crore or less in a financial year.
- **Procedure:** An Assessing Officer can refer a potential GAAR case to the Principal Commissioner of Income Tax. The taxpayer is given an opportunity to present their case. If the Commissioner is not satisfied, the case is referred to an Approving Panel, whose decisions are binding.

Key differences and implications

Feature	Tax Planning	Tax Avoidance	Tax Evasion
Legality	Legal and encouraged.	Legal, but exploits loopholes.	Illegal.
Ethics	Ethical and transparent.	Questionable; against the spirit of the law.	Unethical and fraudulent.
Methods	Using legal deductions, exemptions, and allowances.	Exploiting ambiguities, complex financial structures.	Concealing income, falsifying records.
Consequences	Reduced tax liability; no penalties.	Scrutiny, legislative changes, reputational risk.	Penalties, fines, interest, imprisonment, prosecution.
GAAR's Role	Protects legitimate tax planning.	Targets aggressive avoidance schemes.	Not applicable, as it is already illegal.

TDS & TCS, RECOVERY PROVISIONS

The Income Tax Act, 1961 is the primary legislation governing income tax in India. It establishes the framework for tax assessment, collection, and recovery. Key sections relevant to tax collection and recovery include:

- **Section 220:** This section outlines the procedures for the collection of tax dues, including the issuance of demand notices and the circumstances under which a taxpayer is deemed to be in default.
- **Section 221:** This section provides for penalties for failure to pay tax as per the demand notice.
- **Section 222:** This section allows tax authorities to take action for recovery of tax dues.
- **Sections 226 to 232:** These sections provide mechanisms for the collection of tax due from the assessee, including the authority to attach property and recover dues from third parties.

Tax Deducted at Source (TDS)

TDS is a method of collecting income tax at the source of income. It requires the payer to deduct tax before making payments to the payee. For example, employers deduct TDS from employees' salaries and deposit it with the government.

- **TDS Rates:** Different rates apply depending on the nature of the payment. For instance, TDS on salaries is based on the applicable **income tax slab**, while TDS on interest payments may be at a flat rate.
- **TDS Compliance:** Payers must obtain the **Permanent Account Number (PAN)** of the payee to deduct **TDS** at the correct rate. Failure to do so results in a higher deduction rate.
- **TDS Returns:** After deducting TDS, the payer must **file TDS returns**, detailing the amount deducted and deposited. This is typically done quarterly.

Tax Collected at Source (TCS)

TCS is applicable to specific transactions, such as the sale of goods and services. Sellers are required to collect tax from buyers at the time of sale and deposit it with the government.

- **TCS Rates:** TCS rates vary based on the nature of the goods or services sold. For example, TCS on the sale of alcohol is set at 1%, while TCS on the sale of scrap is set at 1% as well.
- **TCS Compliance:** Sellers must obtain the PAN of the buyer to collect TCS at the correct rate. If the PAN is not provided, the TCS rate is increased.

Modes of Recovery

Tax authorities have several modes of recovery available to them, including:

Tax Recovery Officers (TROs)

TROs are responsible for the collection of tax dues. They can initiate recovery proceedings against defaulters.

- **Role of TROs:** TROs have the authority to issue recovery certificates, attach properties, and take legal action to recover dues. They play a critical role in enforcing tax compliance.
- **Recovery Certificates:** Once a demand notice is issued and not complied with, the TRO can issue a recovery certificate to initiate the recovery process.

Garnishee Proceedings

This involves recovering tax dues from third parties who owe money to the taxpayer. For example, if a taxpayer has a bank account, the tax authorities can issue a garnishee order to the bank to recover the owed tax amount.

- **Process:** The tax authorities serve a notice to the third party, instructing them to withhold the payment due to the taxpayer and remit it to the government. This process is often used to recover dues without direct confrontation with the taxpayer.

Attachment of Property

In cases of significant tax arrears, tax authorities can attach the taxpayer's property, including bank accounts, assets, and properties, to recover the dues.

- **Procedure:** The tax authorities issue a notice of attachment, and the taxpayer is informed of the action taken. The attached property can be sold to recover the tax dues. This method is typically used as a last resort when other recovery methods have failed.

3. Legal Proceedings for Recovery

Tax authorities can initiate legal proceedings to recover tax dues. The **Income Tax Appellate Tribunal (ITAT)** plays a crucial role in resolving disputes related to tax recovery.

Filing Appeals Against Tax Demands

Taxpayers have the right to **appeal** against tax demands issued by the tax authorities. The appeal process involves filing a petition with the ITAT, which reviews the case and makes a determination.

- **Steps to File an Appeal:** Taxpayers must submit Form 35 along with the necessary documentation and fees. The ITAT will schedule a hearing to review the appeal.
- **Time Limit for Filing Appeals:** Taxpayers must file their appeals within 60 days from the date of receipt of the **demand notice**.

Consequences of Non-Compliance

Failure to comply with recovery orders can lead to severe consequences, including penalties, interest on unpaid taxes, and legal action by tax authorities.

- **Penalties:** The Income Tax Act provides for various penalties for non-compliance, including fines and interest on outstanding amounts.
- **Legal Action:** Persistent non-compliance may result in the attachment of assets and properties, and tax authorities may initiate criminal proceedings in cases of wilful default.

Challenges in Tax Collection and Recovery

Despite the established mechanisms for tax collection and recovery, tax authorities face several challenges:

- **Taxpayer Compliance:** Ensuring compliance among taxpayers can be difficult due to a lack of awareness or understanding of tax obligations. Many taxpayers are unaware of the consequences of non-compliance, leading to unintentional defaults.
- **Economic Factors:** Economic downturns can impact taxpayers' ability to pay their dues, leading to increased tax arrears. Businesses may struggle to meet their tax obligations during challenging economic conditions.
- **Administrative Inefficiencies:** Bureaucratic hurdles and inefficiencies within tax administration can hinder effective tax collection and recovery efforts. Delays in processing and communication can exacerbate compliance issues.
- **Complexity of Tax Laws:** The complexity of tax laws can lead to confusion among taxpayers, resulting in unintentional non-compliance. Many taxpayers find it challenging to navigate the intricacies of tax regulations.
- **Fraud and Evasion:** Tax evasion and fraudulent practices pose significant challenges to tax authorities. Identifying and prosecuting tax evaders requires substantial resources and expertise.

Best Practices for Effective Tax Collection and Recovery

To improve tax collection and recovery, several best practices can be implemented:

- **Taxpayer Education and Awareness:** Educating taxpayers about their obligations and the importance of timely tax payments can enhance compliance. This can be achieved through workshops, seminars, and informational campaigns.

- **Streamlining Recovery Processes:** Improving efficiency in tax recovery processes, such as automating certain procedures and utilizing data analytics, can lead to better outcomes. This includes using technology to track defaulters and streamline communication.
- **Dispute Resolution Mechanisms:** Establishing effective dispute resolution mechanisms can help resolve tax disputes amicably and reduce the burden on tax authorities. This may involve mediation, arbitration, or other alternative dispute resolution methods.
- **Collaboration with Financial Institutions:** Collaborating with banks and financial institutions can enhance the recovery process. For instance, banks can assist in identifying accounts with tax dues and facilitate garnishee proceedings.
- **Regular Audits and Assessments:** Conducting regular audits and assessments can help identify potential tax evasion and ensure compliance. This proactive approach can prevent significant tax arrears from accumulating.

TAX AUTHORITIES

An income tax authority is any person or body appointed to administer the Income Tax Act, 1961. The hierarchy is headed by the Central Board of Direct Taxes (CBDT), with several subordinate officials who are responsible for the assessment, collection, and enforcement of income tax laws.

Hierarchy of tax authorities

The Income Tax Act outlines a clear hierarchy for its administrative and judicial authorities, structured as follows:

- **Central Board of Direct Taxes (CBDT):** The apex body responsible for policy and planning concerning all direct taxes in India.
- **Directors-General or Chief Commissioners of Income Tax:** Top-level field officers who manage the department's operations within a specified geographical area (zone).
- **Directors or Commissioners of Income Tax:** Head the tax administration for a specific area.
- **Additional and Joint Directors or Commissioners of Income Tax:** Supervise subordinate officers and focus on detecting tax evasion.
- **Deputy and Assistant Directors or Commissioners of Income Tax:** Mid-level officers who assist in tax administration.
- **Income Tax Officers (Assessing Officers):** The primary authority responsible for a taxpayer's assessment and the main point of contact for the public.
- **Tax Recovery Officers:** Handle the recovery of outstanding tax arrears.
- **Inspectors of Income Tax:** Perform duties assigned by higher-ranking tax authorities.

- **Commissioner of Income Tax (Appeals):** An independent appellate authority that hears appeals against orders passed by lower-level tax officers.

Powers and functions

The various tax authorities are vested with significant powers under the Income Tax Act to ensure effective administration and enforcement.

Administrative powers

- **Supervision:** The CBDT has overall supervision and control over the functioning of all other income tax authorities.
- **Issuance of instructions:** The CBDT can issue orders, instructions, and circulars to guide subordinate officers, though it cannot interfere with the judicial functions of the Commissioner (Appeals).
- **Appointment:** The Central Government and the CBDT have the authority to appoint income tax officials at different ranks.
- **Jurisdiction:** The CBDT determines the jurisdiction of officers based on criteria like territorial area, person, or type of income.

Investigative powers

- **Power to survey:** Authorities can conduct surveys at business premises to collect information relevant to an assessment.
- **Power of search and seizure:** If they suspect tax evasion, senior officers can authorize a search and seizure of books of accounts, documents, cash, and other assets.
- **Power to call for information:** Officers can compel individuals, firms, and families to provide information necessary for their inquiries.

Judicial powers

- **Discovery and inspection:** Officials have powers similar to a civil court to enforce the attendance of individuals and compel the production of documents.
- **Imposition of penalties:** Authorities can impose penalties for non-compliance, concealment of income, and other violations of the tax law.
- **Assessment:** Assessing Officers are responsible for examining returns and determining the correct tax liability of a taxpayer.

Appellate powers

- **Appeals:** The Commissioner (Appeals) is the first appellate authority where a taxpayer can challenge an order passed by an Assessing Officer.
- **Revision:** A Commissioner can revise an order passed by a subordinate officer that is deemed erroneous or prejudicial to the revenue.

Appointment and control

- **Appointment:** The Central Government appoints tax authorities, although it can authorize the CBDT or other senior officials to appoint officers below the rank of Assistant or Deputy Commissioner.
- **Control:** A clear chain of command exists, where higher-ranking authorities control and supervise those subordinate to them, as specified by CBDT notifications.

Limitations on powers

While tax authorities have extensive powers, they must operate within the framework of the Income Tax Act.

- **Fairness and accountability:** They must act reasonably and in a fair manner, upholding the principles of natural justice.
- **Prohibition on arbitrary instructions:** The CBDT cannot issue instructions to assess a particular case in a specific way or interfere with the independent appellate function of the Commissioner (Appeals).
- **Judicial scrutiny:** The decisions and actions of tax authorities can be challenged in higher appellate forums and courts, ensuring a check on their power.

TAX ASSESSMENTS

An income tax assessment is the process by which the Income Tax Department reviews and verifies the income tax returns (ITRs) filed by a taxpayer. The goal is to confirm the accuracy of the declared income, claims, and deductions to determine the correct tax liability or refund for a particular assessment year.

Types of income tax assessments

1. Self-assessment (Section 140A)

- **What it is:** The taxpayer's own calculation of their tax liability before filing their income tax return.
- **How it works:** The taxpayer consolidates income from all sources, adjusts it for losses and deductions, and pays any outstanding tax (known as self-assessment tax) after accounting for advance tax and TDS.

2. Summary assessment (Section 143(1))

- **What it is:** An automated, preliminary check conducted by the Income Tax Department's system, without human intervention, to process the tax return.
- **How it works:** The system compares the data in the ITR with information available from other sources like Form 26AS. It automatically rectifies arithmetic errors, incorrect claims, and disallowances. An intimation is sent to the taxpayer regarding any adjustments, refunds, or tax payable.

3. Scrutiny assessment (Section 143(3))

- **What it is:** A detailed, in-depth examination of a taxpayer's return by an Assessing Officer (AO) to ensure the accuracy and genuineness of claims, deductions, and exemptions.

- **How it works:**

- The AO issues a notice under Section 143(2) to the taxpayer, requiring them to produce relevant documents and evidence.
- The assessment is based on specific criteria set by the Central Board of Direct Taxes (CBDT), and cases can be selected through a Computer Aided Scrutiny Selection (CASS) system.
- Reasons for selection can include high-value transactions, mismatches in TDS claims, or significant changes in income from previous years.
- The AO reviews the submitted evidence and passes an assessment order. The taxpayer has the right to appeal if they disagree.

4. Best judgment assessment (Section 144)

- **What it is:** An assessment performed by the AO based on their best judgment when a taxpayer fails to cooperate or comply with tax requirements.
- **How it works:**
 - It is triggered when a taxpayer fails to file an ITR, does not comply with notices (under Section 142(1) or 143(2)), or fails to maintain proper books of accounts.
 - The AO issues a show-cause notice, giving the taxpayer an opportunity to explain their non-compliance. If the response is not satisfactory, the AO proceeds with the assessment based on available information.
 - This can result in a higher tax liability and penalties.

5. Income escaping assessment (Section 147)

- **What it is:** An assessment or reassessment of a taxpayer's income when the AO has reason to believe that taxable income has escaped assessment in a particular year.
- **How it works:**
 - The process is initiated by issuing a notice under Section 148.
 - It applies in cases where the taxpayer failed to file a return despite having taxable income, understated their income, or claimed excessive deductions.
 - The time limit for issuing a notice varies based on the amount of income that has escaped assessment. For significant amounts (over ₹50 lakh), it can go up to 10 years.

6. Assessment in case of search (Section 153A)

- **What it is:** A specific assessment procedure for taxpayers who have been subject to a search and seizure operation under Section 132 of the Income Tax Act.
- **How it works:** The AO can scrutinize the taxpayer's tax returns for the six years immediately preceding the year of the search. The assessment is conducted based on the material and findings discovered during the search.

Faceless assessment scheme

- **What it is:** An e-assessment scheme under Section 144B that removes the need for in-person interactions between the taxpayer and the AO.
- **How it works:** The entire assessment process, including the submission of documents and communication with tax authorities, is conducted electronically through the Income Tax Department's portal.

APPEALS & REVISIONS & SETTLEMENT

Income tax law in India provides taxpayers with a multi-layered redressal system to challenge an order passed by an income-tax authority. This system is broadly divided into three categories: Appeals, Revisions, and Settlement.

Appeals

An appeal is a formal legal process where a taxpayer, or in some cases the Income Tax Department (the Revenue), challenges an order from a lower tax authority before a higher one.

First appeal: Commissioner (Appeals) [CIT(A)]

- **Who can appeal:** Any aggrieved taxpayer, deductor, or collector may file an appeal.
- **Jurisdiction:** The CIT(A) or Joint Commissioner (Appeals), who is the first appellate authority, hears appeals against orders passed by an Assessing Officer (AO).
- **Filing procedure:** The appeal must be filed in the prescribed **Form 35** within 30 days from the date the order is served. For taxpayers required to e-file their returns, the appeal must also be e-filed.
- **Pre-conditions:** The taxpayer must pay the tax as per the return of income before filing the appeal. The CIT(A) may, for valid reasons, exempt the taxpayer from this requirement.
- **Powers of the CIT(A):** The CIT(A) can confirm, reduce, enhance, or cancel an assessment or penalty. They can also conduct further inquiries or direct the AO to do so.

Second appeal: Income Tax Appellate Tribunal (ITAT)

- **Who can appeal:** Both the taxpayer and the income tax department (Revenue) can file an appeal to the ITAT.
- **Jurisdiction:** The ITAT hears appeals against orders passed by the CIT(A) or certain orders of the Principal Commissioner or Commissioner.
- **Filing procedure:** An appeal to the ITAT is filed using **Form 36** within 60 days of the order.
- **Constitution:** The ITAT is a quasi-judicial body comprising judicial and accountant members. It is the final fact-finding authority.
- **Monetary limits for departmental appeals:** To reduce litigation, the department only files appeals before the ITAT if the "tax effect" exceeds a certain monetary limit. This limit is currently ₹60 lakh.
- **Cross-objections:** If one party files an appeal, the other party can file a memorandum of cross-objections.

Appeals to higher courts

- **High Court:** An appeal from an ITAT order lies with the High Court only if it involves a "substantial question of law". The tax effect for a departmental appeal must exceed ₹2 crore.
- **Supreme Court:** The highest appellate authority, the Supreme Court, hears appeals against High Court judgments. A departmental appeal requires the tax effect to exceed ₹5 crore.

Revisions

Revisions are administrative remedies that empower higher tax authorities to correct orders passed by their subordinates. Unlike appeals, which are initiated by an aggrieved party, revisions can be initiated by either the assessee or the Commissioner on their own motion.

Revision prejudicial to the revenue (Section 263)

- **Initiator:** The Principal Commissioner or Commissioner of Income Tax can call for the records of any proceedings.
- **Grounds:** If the Commissioner finds an order passed by the AO to be "erroneous and prejudicial to the interests of the revenue". This can happen, for example, if the AO's order was passed without proper inquiry or evidence.
- **Action:** The Commissioner can revise, enhance, or cancel the assessment or order a fresh assessment.
- **Appeal:** An assessee can file an appeal against an order passed under Section 263 with the ITAT.

Revision not prejudicial to the revenue (Section 264)

- **Initiator:** The Principal Commissioner or Commissioner can act on their own motion or based on an application from the assessee.
- **Grounds:** This revision is used to provide relief to the assessee and an order under this section cannot be "prejudicial to the assessee".
- **Action:** The Commissioner can make necessary inquiries and pass an order. They have the power to grant relief or refrain from interfering but cannot enhance the assessment.
- **Appeal:** No further appeal is available under the Income Tax Act against an order passed under Section 264. The only recourse is to file a writ petition in the High Court.

Settlement

In the past, the Income Tax Act included a provision for the Income Tax Settlement Commission (ITSC), which provided an alternative dispute resolution mechanism. However, this provision was discontinued by the Finance Act 2021, and the last date for filing applications was January 31, 2021. For pending applications, the government created Interim Boards for Settlement to resolve them.

Key differences between appeals and revisions:

Aspect	Appeals	Revisions
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Purpose	To seek judicial redressal against an assessment order.	To correct errors or issues in an assessment order.
Initiated by	Primarily by the assessee, but can also be by the Revenue at the ITAT level and above.	By the Principal Commissioner or Commissioner, either on their own motion or on an assessee's request.
Grounds	Challenging the order on points of fact or law.	Addressing an order that is "erroneous and prejudicial to the interests of the revenue" (Section 263) or rectifying an order that is not prejudicial to the assessee (Section 264).
Recourse	Tiered process from CIT(A) to the Supreme Court.	Limited recourse within the Income Tax Act. A writ petition in the High Court may be an option against some revision orders.

PENALTIES

Penalties under the Income Tax Act are disciplinary actions taken against taxpayers who do not comply with the law. These penalties can be imposed for various defaults, from late filing and non-payment of taxes to more serious offenses like concealing income or evading tax. The penalties aim to deter non-compliance and ensure accurate and timely tax payments.

Penalties for filing defaults

- Late filing of Income Tax Return (ITR): A belated ITR filed after the due date attracts a late fee under Section 234F.
 - For individuals with an income over ₹5 lakh, the penalty is ₹5,000.
 - For taxpayers with an income of ₹5 lakh or less, the penalty is ₹1,000.
- Non-filing of ITR: If a taxpayer with taxable income fails to file their ITR at all, they can face prosecution under Section 276CC. This can result in imprisonment for 3 months to 7 years, along with a fine, depending on the amount of tax sought to be evaded.
- Late filing of TDS/TCS returns: Failure to file Tax Deducted at Source (TDS) or Tax Collected at Source (TCS) statements on time attracts a late fee of ₹200 per day under Section 234E, up to the total TDS/TCS amount. A further penalty between ₹10,000 and ₹1 lakh may also be imposed under Section 271H.

Penalties for payment defaults

- Late payment of tax: Interest is charged under Section 234A at a rate of 1% per month on the outstanding tax amount from the original due date until the payment is made.

- **Default in self-assessment tax:** If a taxpayer fails to pay their self-assessment tax, the Assessing Officer (AO) may impose a penalty up to the total tax in arrears under Section 221(1).
- **Non-payment of advance tax:** If the total tax liability exceeds ₹10,000, taxpayers must pay advance tax in instalments. Failure to do so incurs interest penalties under Sections 234B and 234C.
- **Failure to deduct or pay TDS/TCS:** A person who fails to deduct or pay TDS/TCS is liable for a penalty equal to the amount of tax they failed to deduct or pay.

Penalties for reporting inaccurate information

- **Underreporting income:** Under Section 270A, a penalty of 50% of the tax payable on the underreported income may be levied.
- **Misreporting income:** If the underreporting is a result of misreporting (e.g., claiming false deductions, recording false entries), the penalty increases to 200% of the tax payable on the underreported income.
- **Tax evasion:** Intentional and fraudulent acts to evade tax, such as falsifying records or concealing income, can lead to criminal prosecution with severe consequences. This can include fines and imprisonment for up to 7 years for large-scale evasion.
- **False entries in books:** Creating false entries in the books of account or omitting entries to evade tax can result in a penalty equal to the sum of such false or omitted entries under Section 271AAD.

Other key penalties

- **Failure to maintain books of account:** A penalty of ₹25,000 can be levied under Section 271A for failing to maintain books of account as required by the law.
- **Failure to get accounts audited:** If a taxpayer is required to get their accounts audited under Section 44AB but fails to do so, a penalty of 0.5% of the total sales/turnover or ₹1.5 lakh, whichever is less, may be imposed under Section 271B.
- **Non-compliance with notices:** Failure to cooperate with an income tax authority, such as not responding to a notice or summons, can result in a penalty of ₹10,000 for each default.
- **Failure to furnish statement of financial transactions (SFT):** Not filing the SFT (Form 61A) by the due date incurs a penalty of ₹500 per day. If a notice is issued and still not complied with, the penalty increases to ₹1,000 per day.
- **Accepting cash transactions over specified limits:** Acceptance of loans, deposits, or specified sums over ₹20,000 in cash is penalized with an amount equal to the transaction under Section 271D. Receiving cash of ₹2 lakh or more in a single day or for a single transaction is penalized with an amount equal to the receipt under Section 271DA.

OFFENCES & PROSECUTION

Prosecution sections

The following sections of the Act provide for launching of prosecution against the assessee or the persons concerned-

- **Section 275A** – Contravention of order made under second proviso to **Section 132** or **section 132 (3)** in case of search and seizure.
- **Section 275B** – Failure to comply with the provisions of **Section 132 (1) (iib)** by giving necessary facilities to authorized officers to inspect the account or other documents.
- **Section 276** – Removal, concealment, transfer or delivery of property to escape or thwart tax recovery.
- **Section 276A** – Failure to comply with the provisions of **Section 178 (1) and (2)** by the liquidator in winding up proceedings of a company.
- **Section 276B** – Failure to pay tax to the credit of Central Government under **Chapter XII – D** or **XVII – B** (deduction of tax at source). Rs.25 Lakhs or below, and the delay in deposit is less than 60 days from the due date, shall not be processed for prosecution.
- **Section 276BB** – Failure to pay the tax deducted at source - Rs.25 Lakhs or below, and the delay in deposit is less than 60 days from the due date, shall not be processed for prosecution.
- **Section 276C** – Wilful attempt to evade tax. Cases where the amount sought to be evaded or tax on under-reported income is Rs.25 Lakhs or below, shall not be processed for prosecution except with the previous administrative approval of the Collegium of two Chief Commissioner of Income Tax ('CCIT' for short)/Director General of Income Tax ('DGIT' for short) rank officers. The prosecution under this section shall be launched only after the confirmation of the order imposing penalty by the Income Tax Appellate Tribunal.
- **Section 276 CC** – Failure to furnish returns of income. Cases where the amount of tax, which would have been evaded if the failure had not been discovered, is Rs. 25 Lakhs or below, shall not be processed for prosecution except with the previous administrative approval of the Collegium of two CCIT/DGIT rank officers.
- **Section 276D** – Failure to produce accounts and documents.
- **Section 277** – False statement in verification.
- **Section 277A** – Falsification of books of account or documents etc.
- **Section 278** - Abetment of false return etc.
- **Section 278A** – Punishment for second and subsequent offences. This section mandates harsher penalties for repeat offences, even if they are under different sections.
- **Section 278AA** – Punishment not to be imposed for certain offences. This section shifts the burden of proving reasonable cause to the accused for specific offences.
- **Section 278 B** – Offences by companies.
- **Section 278C** – Offences by Hindu Undivided Families.
- **Section 280 (1)** – Disclosure of particulars by public servants.

Prosecution sanctioning authority

Section 279 of the Act provides that the sanctioning authority for prosecution of offences under the Act is Principal Commissioner or Commissioner or Commissioner (Appeals) or the appropriate authority. For proper examination of facts and circumstances of a case, and to ensure that only deserving cases below the threshold limit get selected for filing of prosecution complaint, such sanctioning authority shall seek the prior administrative approval of a collegium of two CCIT/DGIT rank officers, including the CCIT/DGIT in whose jurisdiction the case lies. The Principal CCIT(CCA) concerned may issue directions for pairing of CCsIT/DGIT for this purpose. In case of disagreement between the two CCIT/DGIT rank officers of the collegium, the matter will be referred to the Principal CCIT(CCA) whose decision will be final. In the event that the Pr.CCIT(CCA) is one of the two officers of the collegium, in case of a disagreement the decision of the Pr.CCIT(CCA) will be final.

The approval of the sanctioning authority is to be obtained in the following cases-

- **Failure to pay to credit of Central Government (i) tax deducted at source under Chapter XVII-B, or (ii) tax payable under section 115-O(2) or second proviso to section 194B** where non-payment of TDS exceeds Rs. 25 lakhs.
- **Failure to pay to the credit of Central Government the tax collected at source under section 206C** where non-payment of TCS exceeds Rs. 25 lakhs.
- **Wilful attempt to evade tax, penalty or interest or under-reporting of income where tax** which would have been evaded exceeds Rs. 25 lakhs.
- **Wilful attempt to evade payment of any tax, penalty or interest** where payment of any tax, penalty or interest exceeds Rs. 25 lakhs.
- **Wilful failure to furnish returns of fringe benefits under section 115WD/ 115WH or return of income under section 139(1) or in response to notice under section 142(1)(i) or section 148 or section 153A** - where tax sought to be evaded exceeds Rs. 25 lakhs.
- **False statement in verification or delivery of false account or statement etc** - where tax which would have been evaded exceeds Rs. 25 lakhs.
- **Abetment of false return, account, statement or declaration relating to any income or fringe benefits chargeable to tax** - where tax, penalty or interest which would have been evaded exceeds Rs. 25 lakhs.

In all other cases the approval of sanctioning Authority with the previous administrative approval of the Collegium of two CCIT/DGIT rank officers is to be obtained.

Prosecution under Indian Penal Code

Prosecution under sections 193 and 196 of the Indian Penal Code (IPC) [**Section 229 and 233 of Bharathiya Nyaya Sanhita, 2023** ('BNS' for short)] can only be initiated by the officer before whom the offense occurred. This officer could be a revisional authority, first appellate authority, or assessing officer/ADIT/DDIT. However, section 195(1)(a) of the Criminal Procedure Code [**Section 217 of Bharathiya Nagarik Suraksha Sanhita, 2023** ('BNSS' for short)] allows a superior authority to the officer before whom the offense occurred to also initiate prosecution.

Limitation

While Section 468 of the Criminal Procedure Code [**Section 514 of BNSS**] sets a three-year limitation for launching prosecution, offences under the **Income-tax Act** and **Wealth-tax Act** are exempt from this limitation. However, it's important to note that newly introduced provisions like Securities Transaction Tax and Banking Cash Transaction Tax are not exempt from this limitation.

MISCELLANEOUS TOPICS

The term "Miscellaneous Topics" in the context of the Income Tax Act refers to the final chapter of the statute, which covers a wide array of provisions that do not fit into the other specific heads of income or procedural chapters. These provisions address diverse subjects, such as penalties, prosecution for tax evasion, and rules for specific types of assesseees.

Key provisions for late and non-filing

The Income Tax Act mandates the timely filing of Income Tax Returns (ITR) and imposes penalties and interest for non-compliance.

- **Section 234F: Penalty for late filing:** This section imposes a mandatory fee on taxpayers who fail to file their ITR by the prescribed due date.
 - **Maximum penalty:** The maximum penalty is ₹5,000 for taxpayers with a total income exceeding ₹5 lakhs.
 - **Reduced penalty for small taxpayers:** For taxpayers with a total income of up to ₹5 lakhs, the maximum penalty is capped at ₹1,000.
 - **Consequences of late filing:** Filing a late return can result in the loss of the right to carry forward certain losses and can delay tax refunds.
- **Section 234A: Interest for delayed tax filing:** In addition to the late fee, interest at 1% per month or part of a month is charged on any unpaid tax amount. This interest is calculated from the day after the due date until the date of filing.
- **Consequences of non-compliance:** Persistent failure to file returns can lead to prosecution proceedings by the income tax authorities, with possible imprisonment for a term of three months to seven years, along with a fine.

Other miscellaneous provisions

Beyond the penalties for late filing, other miscellaneous provisions cover various aspects of the tax administration.

- **Clubbing of income:** This provision involves aggregating the income of one person with that of another under certain specified circumstances to prevent tax avoidance.
- **Assessment of non-residents (Chapter XV):** Special provisions govern the taxation of income for non-resident individuals and entities, including how their income is assessed and recovered.
- **Authorities and procedures (Chapters XIII, XIV):** These chapters detail the powers and roles of the income tax authorities and the procedures for income tax assessment, re-assessment, and rectification of errors.

- **Advance rulings (Chapter XIXB):** This section allows taxpayers to obtain a binding ruling from the Authority for Advance Rulings on the tax implications of a proposed transaction.
- **Appeals and revisions (Chapter XX):** These provisions lay down the process for taxpayers to file appeals against an assessment order and for higher authorities to revise orders passed by subordinate officers.
- **Tax credit certificates (Chapter XXIB):** This chapter contains rules related to certificates of tax credit, which are used to offset tax liabilities.

New legislation: The proposed Income Tax Bill, 2025

It is important to note that a new Income Tax Bill was proposed in February 2025 to simplify the current law.

- **Key changes:** The new bill aims to replace the existing Act and introduce changes like replacing "Assessment Year" and "Previous Year" with a single "Tax Year".
- **Status:** While the new bill has been introduced, it is not yet law. All income earned and taxes paid in the 2025-26 financial year continue to be governed by the existing Income Tax Act of 1961. The new law is not expected to come into effect before April 1, 2026.

INTERNATIONAL TAXATION

International taxation is a framework of laws and principles governing income tax on cross-border transactions and multinational entities. Its primary goals are to prevent double taxation of the same income by different countries, prevent tax evasion, and ensure a fair allocation of taxing rights. The complex rules of international taxation have evolved to address modern challenges like globalization and the digital economy.

Foundational principles of international income tax

International taxation is built on two primary principles for determining which country can tax income:

- **Residence-based taxation:** The country where a person or company is a tax resident imposes a tax on their worldwide income, regardless of where the income was earned.
- **Source-based taxation:** A country taxes any income generated from a source within its borders, regardless of the taxpayer's residence.

This overlap often creates a risk of double taxation, where the same income is taxed in both the source country and the residence country.

Mechanisms for resolving double taxation

To avoid the disincentive of being taxed twice, countries have established several mechanisms:

- **Double Taxation Avoidance Agreements (DTAAs):** These are bilateral treaties between two countries that clarify which country has the right to tax specific types of income, such as business profits, dividends, or royalties.

- **Foreign tax credit:** The residence country allows a taxpayer to take a credit for the tax they have already paid in the source country, offsetting their domestic tax liability on that foreign income.
- **Exemption method:** The residence country simply exempts foreign income from taxation, provided that it has already been taxed in the source country.
- **Unilateral relief:** In the absence of a DTAA, some countries offer unilateral relief based on their domestic laws, allowing a resident to claim a credit for foreign taxes paid.

Core concepts and anti-avoidance measures

The growth of multinational corporations (MNCs) has led to advanced tax planning strategies, prompting international cooperation to ensure fair taxation.

Transfer pricing

- **What it is:** The pricing of goods, services, and intellectual property that are transferred between related entities of an MNC.
- **The challenge:** MNCs can manipulate these prices to shift profits from high-tax to low-tax jurisdictions, reducing their overall tax liability.
- **The solution:** Countries mandate the "**arm's length principle**," requiring that transactions between associated enterprises be priced as if they were conducted between independent companies.
- **Methods:** Tax authorities use methods like the Comparable Uncontrolled Price (CUP) and Resale Price Method to determine if a transaction adheres to the arm's length principle.

Base Erosion and Profit Shifting (BEPS)

- **What it is:** Tax avoidance strategies used by MNCs to artificially shift profits to low or no-tax locations, exploiting gaps and mismatches in different tax rules.
- **Global response:** The G20 and the Organisation for Economic Co-operation and Development (OECD) launched the BEPS Project, a 15-point action plan to equip governments with the tools to counter these practices.
- **Key actions:** The BEPS framework has led to new global standards, including requirements for Country-by-Country Reporting (CbCR) to increase transparency and measures to curb "treaty shopping".

Controlled Foreign Corporation (CFC) rules

- **What they are:** A country's domestic legislation designed to prevent resident taxpayers from deferring tax by accumulating passive income, such as interest and royalties, in a foreign subsidiary located in a low-tax jurisdiction. The rules typically tax the controlling shareholders on this income as if it were distributed, even if it has not been.

Permanent Establishment (PE)

- **What it is:** A threshold of business activity required to establish a taxable presence in a foreign country.

- **Significance:** A foreign company's business profits can be taxed by a country only if they are attributable to a PE in that country. A PE can be a fixed place of business like an office or factory, or it can be established through a dependent agent who has the authority to sign contracts.